Small Business Management

Past paper.2021

Short question.

<u>Question no .</u>01

What is Intrapreneur?

- Intrapreneurs are individuals who are tasked with creating new and innovative products within an already-established business. Backed by a company's available resources, Intrapreneurs develop open-ended ideas and turn them into real-world products and services.
- An Intrapreneur is an employee with entrepreneurial skills and is responsible for developing innovative ideas, products, or services for their company. Their goal is to enhance the sustainability of the business and help it stay ahead in the competition.
- The employer provides such passionate job crafters, also known as inside entrepreneurs, the resources and capabilities needed to complete the project. Intrapreneurs also get the freedom and flexibility to work without worrying about the risks or rewards. Part of their task involves exploring company policies, analyzing market trends, and making changes to or introducing new concepts.

Question 02

What's is business process reengineering?

Business process re-engineering (BPR) is a business management strategy originally pioneered in the early 1990s, focusing on the analysis and design of workflows and business processes within an organization. BPR aims to help organizations fundamentally rethink how they do their work in order to improve customer service, cut operational costs, and become world-class competitors.

Example:

Many companies like Ford Motors, GTE, and Bell Atlantic tried out BPR during the 1990s to reshuffle their operations. The reengineering process they adopted made a substantial difference to them, dramatically cutting down their expenses and making them more effective against increasing competition.

5 business process re-engineering steps:

1. **Map the current state of your business processes**

Gather data from all resources–both software tools and stakeholders. Understand how the process is performing currently.

2. **Analyze them and find any process gaps or disconnects**

Identify all the errors and delays that hold up a free flow of the process. Make sure if all details are available in the respective steps for the stakeholders to make quick decisions.

3. **Look for improvement opportunities and validate them**

Check if all the steps are absolutely necessary. If a step is there to solely inform the person, remove the step, and add an automated email trigger.

4. **Design a cutting-edge future-state process map**

Create a new process that solves all the problems you have identified. Don't be afraid to design a totally new process that is sure to work well. Designate KPIs for every step of the process.

5. **Implement future state changes and be mindful of dependencies**

Inform every stakeholder of the new process. Only proceed after everyone is on board and educated about how the new process works. Constantly monitor the KPIs.

Importance of BRP:

Business Process Re-engineering (BPR) encompass a range of goals aimed at driving significant advancements in organisational performance, efficiency, and effectiveness. Some of the key objectives of BPR are:

1. **Process Optimization**: BPR strives to optimize business processes by identifying and eliminating inefficiencies, 1redundancies, and bottlenecks. Through re-imagining and re-designing processes, organizations seek to streamline workflows, reduce cycle times, and enhance overall operational efficiency.
2. **Cost Reduction**:
   BPR targets the identification and elimination of non-value-added activities and wasteful resource utilization within processes. By simplifying procedures, eliminating unnecessary steps, and optimizing resource allocation, organization's can achieve cost reductions, improve financial performance, and maximize resource utilization.
3. **Customer Satisfaction**: BPR places a strong focus on enhancing customer satisfaction by aligning processes with customer needs and expectations. By eliminating pain points, improving responsiveness, and delivering high-quality products or services, organisations can exceed customer expectations and foster long-term customer loyalty.
4. **Quality Improvement**: BPR aims to drive continuous improvement in process quality by identifying and eliminating errors, defects, and re-work. Through process re-design and the implementation of quality control measures, organizations can enhance accuracy, consistency, and the overall quality of outputs.
5. **Time-to-Market Reduction**: BPR strives to minimize time-to-market for products or services. By streamlining processes, reducing delays, and optimizing resource allocation, organizations can accelerate product development cycles, respond swiftly to market demands, and seize opportunities ahead of competitors.0,A
6. **Agility and Adaptability:** BPR seeks to enhance organizational agility and adaptability to navigate the dynamic business environment. By redesigning processes to be flexible, responsive, and adaptable,

organizations can quickly adjust to market changes, capitalize on emerging trends, and maintain a competitive edge.

7. **Innovation and Competitive Advantage:** BPR fosters a culture of innovation by encouraging organizations to challenge the status quo and embrace new ideas. By leveraging technology, exploring innovative approaches, and incorporating best practices, organizations can gain a competitive advantage, drive industry innovation, and stay ahead of the curve.
8. **Employee Engagement and Empowerment:** BPR recognizes the crucial role of engaged and empowered employees in driving process improvement. By involving employees in the redesign process, providing training and support, and fostering a culture of continuous learning and improvement, organizations can boost employee morale, motivation, and productivity.

Question 03

What is executive summary?

An executive summary is a short section of a larger document like a business plan, investment proposal or project proposal. It's mostly used to give investors and stakeholders a quick overview of important information about a business plan like the company description, market analysis and financial information.

It contains a short statement that addresses the problem or proposal detailed in the attached documents and features background information, a concise analysis and a conclusion. An executive summary is designed to help executives and investors decide whether to go forth with the proposal, making it critically important.

Question 04

What is downsizing?

Downsizing often refers to the process of minimising the size of workforce by removing the employment of employees. It is also often referred as a layoff.

Downsizing is most common in a recessionary situation where downsizing helps companies to cut costs. Some major companies also layoff a percentage of low performers each year in order to maintain a competitive and efficient workforce.

Reasons ‘:

There are three major reasons that organizations conduct downsizing:

- Cost reduction
- Adoption of new technologies that reduce the need for a large number of employee
- Relocation of the business (such as moving a factory from one country to another).

Question 05

Disadvantages of proprietorship

Disadvantages of a sole proprietorship include:

Unlimited personal liability: One of the main disadvantages of a sole proprietorship is that the owner has unlimited personal liability for the debts and obligations of the business. This means that if the business cannot cover its debts, creditors can go after the owner’s personal assets, such as their home or savings account.

Difficulty raising capital: Sole proprietorships may face challenges when it comes to raising capital. Since the owner is the sole investor, it can be difficult to secure funding from external sources. Banks and investors may be hesitant to lend money or invest in a sole proprietorship due to the higher risk associated with unlimited personal liability.

Limited management and expertise: As the sole owner, you may have limited management and expertise in certain areas of the business. Running a business requires a wide range of skills, and as a sole proprietor, you may have to handle all aspects of the business yourself, which can be overwhelming and may limit your ability to focus on core competencies.

Limited growth potential: Sole proprietorships may have limited growth potential compared to other business structures. The business relies solely on the owner's resources and capabilities, which can restrict expansion opportunities. It may be challenging to attract top talent or enter into partnerships or joint ventures due to the limitations of a sole proprietorship.

Lack of continuity : A sole proprietorship is closely tied to the owner, and the business may cease to exist if the owner decides to retire, becomes incapacitated, or passes away. Unlike other business structures, there is no separate legal entity that can continue the business in the event of the owner's absence.

Question 06

Write types of intermediaries?

Intermediaries, also known as middlemen or go-betweens, are individuals or entities that facilitate transactions or communication between two or more parties. They play a crucial role in various fields such as business, diplomacy, trade, and finance.

Types :

Types of Intermediaries

Intermediaries play a crucial role in marketing by helping companies promote, sell, and distribute their products to customers. There are several types of intermediaries that operate at different stages of the distribution chain. Here are the four main types of intermediaries:

Agents and Brokers: Agents and brokers act as intermediaries between buyers and sellers on a permanent or temporary basis. They represent another person or entity and have the power to negotiate and make decisions on behalf of their clients. Agents are commonly found in industries like real estate, while brokers are more active in the trading sector. They are typically paid on a commission basis for the transactions they mediate.

Wholesalers: Wholesalers serve as intermediaries between manufacturers or farmers and retailers. They purchase products in large quantities from manufacturers and sell them to retailers. Wholesalers mainly focus on the Business-to-Business (B2B) market and can operate through traditional cash-and-carry outlets or digital platforms. They play a crucial role in the distribution of goods, especially in terms of storage, order processing, and delivery.

Distributors: Distributors are intermediaries who are in direct contact with the manufacturer. Unlike wholesalers, they do not sell products to retailers but rather to the end-users. Distributors typically work with specific manufacturers and provide after-sales services to customers. They may be paid through commissions or fees by the manufacturer.

Retailers: Retailers are the most familiar type of intermediary for consumers. They include shops, supermarkets, websites, and other platforms where customers can directly purchase products. Retailers can either buy products from manufacturers or other intermediaries. They have a wider reach and offer a comprehensive range of products. E-commerce platforms like Amazon and Shopify are also examples of retail intermediaries.

Question 07

What is market development?

A market development strategy is a business growth strategy that focuses on introducing existing products to new markets. Companies often use market development strategies to identify and develop new opportunities to sell their products in previously unexplored markets.

Market development definition entails the strategic step that a company takes to help increase new customers and increase its revenue through entering a new market by using existing products.

For example, a company that produces cell phones and sells them to customers in the United States may decide to start advertising and selling the same cell phones in Canada to reach new customers.

Question 08

Define product life cycle :

Product life cycle (PLC) is the process of a product's growth, maturity, and decline over time. It consists of four stages: introduction, growth, maturity, and decline. During each stage, the product experiences different levels of sales and profits. The stages of the product life cycle can be used to determine when, where, and how a company should invest in marketing and product development.

Steps of product life cycle

Here are the steps involved in each stage:

Introduction Stage:

- This is the first stage of the product life cycle, where the product is introduced to the market for the first time.
- The company invests in advertising and marketing campaigns to create awareness and generate interest in the product.
- Sales are typically low during this stage as customers are not yet familiar with the product.

Growth Stage:

- In this stage, the product experiences a rapid increase in sales and market acceptance.
- Demand for the product grows, leading to an expansion in production and availability.
- The company may invest in marketing campaigns to differentiate the product from competitors and improve its functionality based on customer feedback.
- Sales and revenue increase during this stage, but competition also intensifies, leading to potential price reductions and lower profit margins.

Maturity Stage:

- The maturity stage is characterized by a stable market with saturated demand for the product.
- Sales levels stabilize, and the costs of production and marketing decline.
- The company may focus on innovation, customer feedback, and market research to maintain its market presence and differentiate the product from competitors.
- Competition is usually high during this stage, and companies strive to prolong the product's existence in the maturity stage for as long as possible.

Decline Stage:

- In the decline stage, the product experiences a decline in sales and market share.
- Market saturation, the emergence of alternative products, or changes in consumer behavior contribute to the decline.
- The company may choose to discontinue marketing efforts for the product or revamp it with a new version or alternative.
- Eventually, the product may be phased out from the market entirely.

Question 09

Gove four reason to start new business

Pursue your passion: Starting a business allows you to follow your passion and turn it into a profitable venture. Whether it's a hobby, talent, or skill, starting a business based on something you love can bring fulfillment and satisfaction.

Financial independence: Starting your own business gives you the opportunity to achieve financial independence. While it may take time and effort to build a successful business, the potential for financial growth and success is unlimited. As the owner, you have control over your income and the ability to build wealth.

Flexibility and control: Being your own boss means you have the freedom to set your own schedule and work on your own terms. You can create a flexible lifestyle that suits your needs and priorities. Additionally, you have full control over the direction and decisions of your business.

Make a difference: Starting a business allows you to make a positive impact on your community or the world. You can address social issues, support non-profits, or solve problems through your business. This gives you the opportunity to contribute to a cause you believe in and make a difference in people's lives.

Personal growth and learning: Starting a business requires you to learn new skills and constantly adapt to new challenges. It provides an opportunity for personal growth and development. As an entrepreneur, you will gain valuable experience in various areas such as finance, marketing, and leadership.

Question 10

What is advertising?

Advertising is a marketing strategy that brings messages about products and services to broad audiences through media such as TV and radio, newspapers and magazines, online social platforms like Facebook, Twitter, LinkedIn, YouTube, and billboards.

Advertising is a marketing tactic involving paying for space to promote a product, service, or cause. The actual promotional messages are called advertisements, or ads for short. The goal of advertising is to reach people most likely to be willing to pay for a company's products or services and entice them to buy.

Long Questions

Question 01

What are the other legal forms of business ownership?

There are the following other legal forms of business ownership :

Corporation:

- A corporation is a separate legal entity from its owners, known as shareholders.
- Shareholders have limited liability, meaning their personal assets are protected from the debts and liabilities of the corporation.
- Profits and losses of the corporation do not directly impact shareholders. Instead, shareholders benefit from profits through dividends and the appreciation of their stock.
- Corporations are subject to double taxation, as they are taxed on their profits, and shareholders are taxed on any dividends received .

S Corporation:

- An S corporation is a specialized type of corporation designed for smaller companies.
- Like a partnership, the profits and losses of an S corporation are reported on the owners' personal tax returns, avoiding double taxation.
- S corporations have limited liability protection for shareholders.
- The number of shareholders in an S corporation is usually capped at 100.

Limited Liability Company (LLC):

- An LLC is a hybrid form of business ownership that combines features of both corporations and partnerships.
- Owners of an LLC, known as members, have limited liability protection, similar to shareholders in a corporation.
- LLCs offer flexibility in management and taxation. For federal tax purposes, an LLC can choose to be treated as a corporation, partnership, or sole proprietorship.

- LLCs are relatively easy to set up and operate, making them a popular choice for small businesses.

Nonprofit Organization:

- Nonprofit organizations are formed for charitable, educational, religious, or other socially beneficial purposes.
- These organizations are exempt from paying income taxes and are governed by a board of directors or trustees. Nonprofits rely on donations, grants, and fundraising to support their activities and typically reinvest any surplus funds back into the organization's mission.

Franchise:

- A franchise is a business arrangement where an individual or entity (franchisee) is granted the right to operate a business using the brand, products, and systems of another company (franchisor).
- Franchisees pay an initial fee and ongoing royalties to the franchisor in exchange for the use of their established business model and support. Franchises offer the advantage of operating under a recognized brand and receiving support from the franchisor.

Question 02

Explain advantage and disadvantages of franchise business.

Advantages of Franchise Business:

Established Business Model: One of the key advantages of a franchise business is that you are buying into an established business model . The franchisor has already developed and tested the concept, making it easier for you to start and run the business successfully.

Brand Recognition: Franchises often come with well-known and recognized brands. This brand recognition can give you a competitive edge and attract customers more easily compared to starting an independent business.

Training and Support: Franchisors typically provide comprehensive training and ongoing support to franchisees . This can include initial training on how to operate the business, ongoing training for staff, and assistance with marketing and advertising. The support from the franchisor can help you navigate challenges and increase your chances of success.

Lower Risk: Franchising offers a lower risk compared to starting an independent business . The franchisor has already proven the business concept and has a track record of success. This reduces the risk of failure and increases the likelihood of profitability.

Economies of Scale: Franchise businesses benefit from economies of scale. The franchise network can negotiate better deals with suppliers due to the collective buying power of all franchisees. This can result in lower costs for inventory and supplies, increasing your profit margins.

Marketing and Advertising: Franchisors often have established marketing and advertising strategies in place. They may contribute to national or regional advertising campaigns, which can help drive customers to your franchise location. This shared marketing effort can save you time and money compared to developing your own marketing strategies.

Ongoing Research and Development: Franchisors continuously invest in research and development to improve their products or services]. As a franchisee, you can benefit from these advancements without having to invest your own resources. This keeps your business competitive and up-to-date with industry trends.

Access to Financing: Franchise businesses may have easier access to financing compared to independent businesses . Lenders are often more willing to provide loans to franchisees because of the proven success of the franchise model and the support provided by the franchisor

Disadvantages of Franchising Business:

Restricting Regulations: One of the main disadvantages of franchising is that franchisees must follow the restrictions and guidelines set by the franchisor. This can limit the franchisee's ability to make independent decisions and operate the business according to their own preferences.

Initial Cost: Joining a well-known and profitable franchise often requires a significant initial investment. This can put a strain on small business owners who may struggle to come up with the necessary funds.

Ongoing Investment: In addition to the initial investment, franchisees are typically required to pay ongoing fees and costs as part of the franchise agreement. These can include royalty fees, advertising costs, and charges for training services.

Potential for Conflict: While franchises offer support and a network of resources, there is also the potential for conflict between the franchisee and franchisor. Power imbalances and differences in management styles can lead to disagreements and strained relationships.

Lack of Financial Privacy: Franchise agreements often stipulate that the franchisor has access to the franchisee's financial information. This lack of financial privacy can be seen as a disadvantage for franchisees who value their financial independence.

Question 03

What is global marketing? Explain the problems of global marketing in current situation?

Global marketing :

Global marketing is the process of analyzing international markets and developing a plan to promote the products or services offered by a business in multiple countries. Global marketing increases competitiveness, which results in higher-quality, lower-priced products for consumers.

Example

An example of global marketing would be a company that is based in New York, but they market and sell their product in countries across the world. The company would analyze the international markets and adjust marketing strategies to fit the needs of the consumers in that geographic region.

Problems of global marketing

Cultural Differences: Cultural norms, values, and beliefs vary across different countries and can significantly impact the effectiveness of marketing campaigns. Lack of cultural sensitivity can lead to campaigns that are irrelevant or offensive to the target audience.

Language Barriers: Language plays a crucial role in effective communication. While English is widely used in business, it is not the first language for a majority of the global population. Language barriers can hinder effective communication and understanding of marketing messages. Translating marketing materials and using local languages can help overcome this challenge.

Varying Economic Conditions: Different countries have varying levels of economic development, wealth, and spending habits. Businesses need to understand the economic conditions of their target markets and adjust their marketing strategies accordingly. Pricing strategies may need to be adapted to suit different income levels and consumer behaviors.

Regulatory Compliance: Each country has its own set of laws and regulations regarding advertising, data protection, and consumer protection. Navigating these regulations can be complex and challenging for global marketers. Thorough research and compliance with local laws are essential to avoid legal issues.

Market Research and Localization: Conducting market research and understanding local preferences, behaviors, and cultural nuances is crucial for successful global marketing. Adapting marketing messages, creative content, and strategies to suit local markets can help overcome barriers and resonate with the target audience.

Distribution and Logistics: Managing global distribution networks and logistics can be challenging due to differences in infrastructure, transportation systems, and customs regulations. Ensuring timely delivery and availability of products in different markets requires careful planning and coordination.

Competition: Global markets are highly competitive, with businesses from different countries vying for the attention of consumers. Understanding and effectively competing with local and international competitors is essential for success in global marketing.

Skills Gap: The increased digitalization of marketing requires marketers to have the necessary skills to adapt to new technologies and channels. Marketers need to continuously upskill and stay connected with customers across digital platforms.

Changing Consumer Behavior: The COVID-19 pandemic has significantly impacted consumer behavior, with more people shopping online and discovering products through digital channels. Marketers need to adapt their strategies to meet the changing needs and preferences of consumers.

Digitalization: The rapid shift to digital platforms has created new challenges in global marketing, including security risks, data protection, and fraud. Marketers need to address these challenges to deliver business as usual online.